⚑ INDICATIVE TERM SHEET ONLY — ALL TERMS SUBJECT TO DEFINITIVE OFFERING DOCUMENTS | REFER TO PRIVATE PLACEMENT MEMORANDUM PREPARED BY SCALE LLP ⚑

DH DRAFT HORSE CAPITAL PARTNERS

INSTITUTIONAL TERM SHEET — MARCH 2026

PRIVATE CREDIT · SINGLE-MANDATE SENIOR SECURED · SOVEREIGN & INSTITUTIONAL

# Draft Horse Capital Partners LLC

Formal Institutional Term Sheet — Confidential — Accredited Investors Only

## I. FUND STRUCTURE & FORMATION

| TERM | DETAIL |
|---|---|
| Legal Entity | Draft Horse Capital Partners LLC — Texas Limited Liability Company |
| Formation Date | February 23, 2026 |
| Governing Law | State of Texas |
| Managing Entity | Draft Horse Wealth Management LLC (wholly owned by Dark Horse Wealth Management) |
| Principal / CIO | Caleb Caraway — Managing Partner & CEO, Dark Horse Wealth Management |
| Securities Exemption | Regulation D, Rule 506(c) — Securities Act of 1933 |
| Fund Exclusion | Section 3(c)(1) — Investment Company Act of 1940 (maximum 100 beneficial owners) |
| Strategy | Single-mandate senior secured direct lending to a single institutional PE sponsor — $100M credit facility |

| TERM | DETAIL |
|---|---|
| Platform | Dark Horse Platform — Private Credit Series (Dark Horse Wealth Management, governing entity) |

## II. MATERIAL INVESTMENT TERMS

| TERM | DETAIL |
|---|---|
| Minimum Subscription | **$200,000 USD** |
| Maximum Offering Size | $100,000,000 USD (single-facility capacity; subject to §3(c)(1) investor count cap) |
| Eligible Investors | Verified accredited investors only. Rule 506(c) verification required prior to subscription acceptance. Sovereign wealth funds, institutional investors, and family offices with qualifying assets welcome. |
| Currency | USD only |
| Investor Lock-Up | **36 Months — No Early Redemption Under Any Circumstances. Interests are illiquid. No secondary market exists or is expected to develop. Investors must be prepared to hold for the full 36-month term.** |
| Principal Return | 100% of invested principal returned at 36-month maturity. Subject to Fund performance and borrower repayment. Not government-insured. Not guaranteed. |
| Distribution Frequency | Quarterly cash distributions. First distribution at end of first full quarter following capital acceptance. Distributions are contingent on borrower performance and Fund cash flow. |
| Distribution Mechanics | Quarterly distribution = (Invested Principal × Annual Fixed Contractual Yield) ÷ 4. Paid via Axos Bank to investor account of record. Processed by NAV Fund Services. Distribution calendar provided at onboarding. |
| Rate Lock | Fixed Contractual Yield tier is locked permanently at the AUM tier prevailing at time of subscription. Rate does not reset during the 36-month term regardless of subsequent AUM changes. Investors neither benefit from nor are penalized by post-subscription tier changes. |
| Management Fee | **None — $0 annual management fee on committed capital** |

| TERM | DETAIL |
|---|---|
| Performance Fee / Carry | **None — $0 carried interest on profits** |
| Waterfall / Hurdle | **None — No hurdle rate, no preferred return waterfall** |
| Subscription Frequency | Rolling — subscriptions accepted upon completion of accredited investor verification and execution of subscription documents |
| Fund Administrator | NAV Fund Services (independent) — fund accounting, NAV calculation, investor records, distribution processing |
| Auditor | Spicer Jeffries LLP — annual independent audit; investor K-1 preparation; tax compliance |
| Custodian / Banking | Axos Bank — institutional fund operating accounts; investor capital receipt; distribution disbursement |
| Securities Counsel | SCALE LLP / Dori Karjian — PPM, subscription docs, Reg D compliance, Form D filing, accredited investor verification oversight |

## III. EIGHT-TIER FIXED CONTRACTUAL YIELD SCHEDULE

**Fixed Contractual Yield:** All yields stated below are target annual rates fixed contractually at the time of subscription, based on the cumulative AUM tier prevailing when the investor's subscription is accepted. Yields are targets — they are not guaranteed returns. Distributions are contingent on Fund and borrower performance. The stated yield represents the investor's contractual entitlement under the Subscription Agreement, subject to Fund performance and borrower obligations. The rate does not reset or adjust during the 36-month term.

| TIER | CUMULATIVE FUND AUM AT SUBSCRIPTION | FIXED CONTRACTUAL YIELD (P.A.) | QUARTERLY DISTRIBUTION RATE | ANNUAL INCOME PER $1M | 3-YEAR TOTAL INCOME PER $1M |
|---|---|---|---|---|---|
| 1 | Up to $10,000,000 | **9.0%** | 2.25% | $90,000 | $270,000 |
| 2 | $10,000,001 – $15,000,000 | **10.0%** | 2.50% | $100,000 | $300,000 |

| TIER | CUMULATIVE FUND AUM AT SUBSCRIPTION | FIXED CONTRACTUAL YIELD (P.A.) | QUARTERLY DISTRIBUTION RATE | ANNUAL INCOME PER $1M | 3-YEAR TOTAL INCOME PER $1M |
|---|---|---|---|---|---|
| 3 | $15,000,001 – $20,000,000 | 11.0% | 2.75% | $110,000 | $330,000 |
| 4 | $20,000,001 – $25,000,000 | 12.0% | 3.00% | $120,000 | $360,000 |
| 5 | $25,000,001 – $30,000,000 | 13.0% | 3.25% | $130,000 | $390,000 |
| 6 | $30,000,001 – $35,000,000 | 14.0% | 3.50% | $140,000 | $420,000 |
| 7 | $35,000,001 – $50,000,000 | 15.0% | 3.75% | $150,000 | $450,000 |
| **8** | **$50,000,001 and above** | **17.0%** | **4.25%** | **$170,000** | **$510,000** |

All figures are illustrative based on stated target yields and are not guaranteed. Principal returned at maturity adds $1,000,000 per $1M invested. Total value at Tier 8: $1,510,000 per $1M committed (51% total return over 36 months). No management fee or carry is deducted from any tier.

## IV. SIX-LAYER COLLATERAL ARCHITECTURE — UCC-1 PERFECTED SENIOR FIRST LIEN + LLOYD'S OF LONDON CREDIT INSURANCE

The Fund holds a single, perfected UCC-1 first-priority security interest covering all five hard asset collateral layers simultaneously. Each layer is independently enforceable under the applicable legal framework. In a default scenario, the Fund may pursue enforcement against any layer independently or in combination, without waiving rights against remaining layers. In addition, the Fund is structuring a sixth protection layer — a Lloyd's of London credit insurance policy (anticipated at or prior to initial close) — that provides an institutional backstop against borrower default independent of the hard asset collateral recovery process.

### LAYER 1 — PRIMARY CASH FLOW CLAIM

#### PE Portfolio Company Cash Flows & Receivables

Perfected assignment of all cash flow rights, accounts receivable, and payment obligations owed to the PE sponsor's portfolio companies. Upon a default event, Fund delivers written notice under UCC §9-607 to all account debtors, redirecting all payments directly to the Fund.

*Enforcement Pathway: Cash flow sweep via UCC §9-607 notice — executable within 30–60 days of acceleration event. No court intervention required.*

**LAYER 2 — PHYSICAL ASSET BASE**

### Commercial Real Estate, Business Inventory & Physical Property

UCC-1 perfected security interest against all tangible physical assets of the PE sponsor's portfolio companies — commercial real estate, operational inventory, equipment, and fixtures. Texas commercial portfolio; independent appraisals provided under NDA.

*Enforcement Pathway: UCC §9-610 commercially reasonable public or private disposition. Real estate disposition under applicable state law mortgage/deed of trust remedies.*

**LAYER 3 — EQUITY CONTROL OVERRIDE**

### 100% Portfolio Company Equity Pledge

Pledge of 100% of the PE sponsor's equity interests in all portfolio company holdings. Upon exercise, Fund steps into full ownership and operational control of the underlying operating businesses — enabling managed wind-down or operational continuation to maximize recovery value.

*Enforcement Pathway: Equity pledge exercise via executed pledge agreements, compliant with applicable securities law governing transfer of privately-held interests. Coordinated by SCALE LLP.*

**LAYER 4 — HARD ASSET TERMINAL VALUE (AVIATION INFRASTRUCTURE)**

### Aviation Assets (Current G4-Class Fleet & Future G550 Enhancement) — Dual Lien Registration

**Lien Perfection — Dual Filing:**
(i) **UCC-1 Financing Statement under Article 9** of the Uniform Commercial Code, filed in the applicable state of the debtor's organization;
(ii) **FAA Civil Aviation Registry notation** in Oklahoma City, Oklahoma, pursuant to **49 U.S.C. § 44107** and 14 C.F.R. Part 49 — the federal filing establishing priority of interests in U.S.-registered civil aircraft.

**Current Aviation Collateral:** 4 Gulfstream G4-class aircraft currently operated by charter company — 2 owned outright (unencumbered, estimated $8M–$16M floor value), 2 subject to existing acquisition financing (contributing net equity above outstanding financing). Current perfected aviation collateral: $8M–$16M (2 unencumbered G4-class aircraft).

**Future Platform Enhancement:** Quarter Horse Capital Partners, a co-fund under the same management platform, has committed capital to acquire Gulfstream G550 aircraft for the same charter operator. As G550s are acquired by Quarter Horse (24-jet target × $14M floor = $336M; 51-jet platform target = $714M), Draft Horse gains a growing aviation collateral enhancement layer — subject to Quarter Horse's first-priority claim. Draft Horse's interest in G550 assets is expressly subordinated to Quarter Horse's senior collateral claim and attaches only upon each aircraft's acquisition.

**Compliance Disclosure:** The G550 fleet does not constitute current perfected collateral at closing. Prospective investors should not rely on G550 fleet figures when evaluating current collateral coverage.

**International Context:** Cape Town Convention (Aircraft Protocol) applicability evaluated by Fund counsel for international enforcement scenarios.

*Enforcement Pathway (Current G4 Fleet): FAA Registry enforcement + UCC-1 Article 9 lien on current charter fleet. 2 unencumbered G4-class aircraft immediately available for disposition. Enforcement Path (G550, future/subordinated): Coordinated with Quarter Horse Capital Partners' senior enforcement rights. Remarketing through AVPRO, jetAVIVA, and institutional brokers. Typical execution: 60–180 days. Charter operations continue generating income during remarketing.*

LAYER 5 — DUAL EQUITY ALIGNMENT LOCK

## PE Sponsor Full-Recourse Guaranty — Dual Counterparty Equity

Full-recourse, continuing guaranty from the PE sponsor covering all principal, accrued interest, and enforcement costs. Survives any bankruptcy, insolvency, or restructuring of the primary borrowing entity. Carve-outs limited to fraudulent conveyance consistent with institutional market standards.

**Structural Differentiator — Dual Equity Exposure:** The PE sponsor holds equity in BOTH the primary borrowing entity AND the charter company operating the aviation fleet (Layer 4 — current G4-class fleet; future G550 fleet as acquired by Quarter Horse). Default simultaneously impairs: (i) the sponsor's credit standing and investor relationships; and (ii) their equity position in a separately held, income-generating hard asset business. No single-collateral structure replicates this dual impairment alignment. Guarantor financial statements and net worth verification provided under NDA.

*Enforcement Pathway: Full-recourse claim against guarantor personal/entity assets. Coordinated by SCALE LLP. Enforceable independently of Layers 1–4.*

🛡 LAYER 6 — LLOYD'S OF LONDON CREDIT INSURANCE — INSTITUTIONAL PRINCIPAL BACKSTOP

## Lloyd's of London Credit Insurance Policy — Anticipated at or Prior to Initial Close

The Fund is structuring a credit insurance policy with a Lloyd's of London syndicate to protect investor principal against borrower default. The Co-Managing Member (Adil Kassam) maintains an established relationship with Lloyd's, through which the syndicate has expressed interest in underwriting this coverage.

**Coverage mechanics:** Upon a defined credit event (borrower default on the facility), the Lloyd's syndicate pays the Fund up to 100% of insured principal. The Fund then distributes returned principal to investors pro rata. The policy term is matched to the 36-month facility term. Coverage is subject to standard Lloyd's credit insurance policy terms, conditions, and exclusions (including fraud, war, sanctions). Lloyd's of London carries an A+ institutional credit rating.

**Required Disclosure:** "The Lloyd's of London credit insurance policy described herein is currently being structured and has not yet been executed. Coverage is subject to final underwriting, policy terms, and Lloyd's syndicate approval. Prospective investors should not rely on the policy as currently in force. The Fund anticipates completing the insurance structure at or prior to initial close and will provide executed policy terms to investors as part of the final due diligence package."

*Recovery Pathway: Upon defined credit event, claim filed with Lloyd's syndicate. Insurance proceeds paid to Fund; distributed to investors pro rata. Operates independently of Layers 1–5 collateral enforcement. Policy not yet executed — anticipated at or prior to initial close.*

## V. QUARTERLY DISTRIBUTION MECHANICS

| ITEM | DETAIL |
|---|---|
| Frequency | Quarterly — end of each calendar quarter following capital acceptance |
| Calculation | (Investor Principal Balance × Annual Fixed Contractual Yield) ÷ 4 = Quarterly Distribution Amount |
| Payment Processor | NAV Fund Services — independent calculation and payment instruction |
| Payment Mechanics | Wire transfer via Axos Bank to investor bank account of record on file with NAV Fund Services |
| First Distribution | End of first full calendar quarter following acceptance of subscription capital |
| Suspension Rights | The Fund may suspend or defer distributions in the event of a borrower payment default, covenant breach under cure, or Material Adverse Change event pending resolution. Suspended distributions accrue and are paid upon resolution. |
| Tax Reporting | Annual K-1 prepared by Spicer Jeffries LLP. Distributions may be characterized as ordinary income. Sovereign investors should evaluate IRC §892 qualification with independent tax counsel (see Section VII). |
| At Maturity (Month 36) | Final quarterly distribution + 100% principal return (subject to borrower repayment and Fund performance). Investor account closed. K-1 issued. |

## VI. SINGLE-COUNTERPARTY CONCENTRATION RISK DISCLOSURE

**Most Material Risk — Read Completely:** The Fund's entire $100M deployment is concentrated in a single borrower relationship. This is the most material risk in Draft Horse Capital Partners and must be evaluated fully by every prospective investor before committing capital. Credit risk is not diversified across counterparties. Any material adverse change in the borrower's financial condition, operating performance, management continuity, legal status, or industry environment could impair the Fund's ability to recover principal and accrued interest regardless of collateral architecture. In severe stress, correlation between collateral layer values held against a single enterprise is likely higher than diversified portfolio analysis suggests.

**Bilateral Monitoring Advantage — The Structural Corollary to Concentration Risk:** The single-borrower structure provides the Fund with monitoring capabilities structurally unavailable in diversified

portfolios or syndicated facilities. Draft Horse is the sole creditor in a direct, bilateral relationship — with real-time covenant visibility, no syndicate agent intermediary, no information delay, and full contractual authority to act immediately on any deterioration signal. In a broadly syndicated credit facility with 30+ lenders, material adverse changes are frequently identified only after formal default. In Draft Horse's bilateral structure, the Fund detects and responds at the earliest possible stage. Concentration risk and monitoring advantage are two sides of the same structural decision. Both are disclosed. Both must be weighed.

## VII. SOVEREIGN INVESTOR TAX CONSIDERATIONS — IRC §892

| ITEM | DETAIL |
|---|---|
| IRC §892 Exemption | Sovereign wealth funds and government-affiliated institutional investors may be entitled to exemption from U.S. federal income tax on certain types of income under Section 892 of the Internal Revenue Code. Eligibility depends on the specific nature of the Fund's income, the investor's sovereign status, and applicable law at the time of distribution. |
| UBTI Carve-Out | Section 892 exemptions do not extend to Unrelated Business Taxable Income (UBTI) or income from certain commercial activities. Sovereign investors should confirm with their own tax counsel whether Fund income constitutes qualifying §892 income. |
| FATCA Documentation | Non-U.S. investors must provide applicable FATCA documentation (IRS Form W-8BEN, W-8BEN-E, or W-8EXP as appropriate). Sovereign entities qualifying under IRC §892 typically file Form W-8EXP. Spicer Jeffries LLP coordinates with prospective investors on FATCA and §892 documentation requirements. |
| No Fund Tax Representation | The Fund makes no representation regarding the U.S. federal or state tax treatment of distributions to sovereign or foreign investors. Sovereign and institutional investors must obtain independent tax counsel on the U.S. tax treatment of their investment before committing capital. |
| General Tax Treatment | Fund distributions may be treated as ordinary income subject to applicable federal and state income tax rates. Pass-through entity treatment applies. Annual K-1 prepared by Spicer Jeffries LLP. Investors are solely responsible for their own tax obligations. |

## VIII. SERVICE PROVIDERS & OPERATIONAL INFRASTRUCTURE

| FUNCTION | PROVIDER | SCOPE | INDEPENDENCE |
|---|---|---|---|
| Fund Administration | NAV Fund Services | Fund accounting, independent NAV calculation, investor capital accounts, distribution processing, financial reporting | Independent |
| Annual Audit | Spicer Jeffries LLP | Annual independent audit of Fund financial statements per GAAP; investor K-1 preparation | Independent |
| Tax Compliance | Spicer Jeffries LLP | Partnership tax returns, investor K-1 preparation, tax advisory, FATCA coordination | Independent |
| Institutional Banking | Axos Bank | Fund operating accounts, investor capital receipt, quarterly distribution disbursement, wire infrastructure | Independent |
| Securities Counsel | SCALE LLP / Dori Karjian | PPM drafting, subscription and operating agreements, Reg D 506(c) compliance, Form D filing, accredited investor verification oversight, ongoing securities counsel | Independent |

## IX. PRINCIPAL TRACK RECORD — IMPORTANT DISCLOSURE

**Corinthian Capital Partners — Established Private Credit Track Record:** Principal Caleb Caraway's flagship private credit vehicle, Corinthian Capital Partners, has maintained an established private credit track record with distributions made to investors since inception. **This track record has not been independently audited for presentation to Draft Horse investors and is not audited by Spicer Jeffries LLP, which serves exclusively as Draft Horse Capital Partners' auditor.** Corinthian Capital Partners is a separate legal entity with separate operations, investors, and audit relationships. Past performance of Corinthian Capital Partners or any related entity does not guarantee future results for Draft Horse Capital Partners LLC. Draft Horse Capital Partners LLC was formed February 23, 2026, and has no independent operating history. Prospective investors must not rely on Corinthian's track record as a predictor of Draft Horse outcomes.

## X. INVESTMENT PROCESS & NEXT STEPS

| STEP | ACTION |
|---|---|
| 1. Initial Inquiry | Contact Principal Caleb Caraway directly. NDA executed at this stage if detailed borrower materials are requested. |
| 2. Accredited Verification | Complete Rule 506(c) accredited investor verification via licensed CPA, attorney, registered broker-dealer, or registered investment adviser. |
| 3. Offering Documents | Receive and review complete PPM, Operating Agreement, and Subscription Agreement prepared by SCALE LLP. Legal review by investor's own counsel strongly encouraged. |
| 4. Subscription Execution | Execute Subscription Agreement. Wire capital per instructions from NAV Fund Services. Minimum: $200,000. |
| 5. Onboarding | Receive investor account confirmation from NAV Fund Services. Distribution schedule, quarterly reporting calendar, and K-1 delivery timeline provided. |

CONTACT

Caleb Caraway
Principal & CIO — Draft Horse Capital Partners LLC
Managing Partner & CEO — Dark Horse Wealth Management

**Securities Counsel:** SCALE LLP / Dori Karjian
**Fund Administration:** NAV Fund Services
**Audit & Tax:** Spicer Jeffries LLP
**Banking:** Axos Bank

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